

an ETH trading pair because we know by design that the stablecoin's price should be close to \$1. The Uniswap pricing model leaves money on the table for arbitrageurs on high correlation pairs such as stablecoins because it does not adjust default slippage lower (change the shape of the bonding curve) as expected; the profit is subtracted from the liquidity providers. For this reason, competitor AMMs such as Curve¹⁴ that specialize in high-correlation trading pairs may cannibalize liquidity in these types of Uniswap markets.

If the pair does not already exist, anyone can start an ERC-20/ERC-20 or ETH/ERC-20 trading pair on Uniswap by simply supplying capital on both sides.¹⁵ The user determines the initial exchange rate, and arbitrageurs should drive that price to the true market price if it deviates at all. Users of the platform can effectively trade any two ERC-20 tokens supported by using *router contracts* that determine the most efficient path of swaps to get the lowest slippage if no direct trading pair is available.

A drawback of the AMM model is that it is particularly susceptible to front-running. This is not to be confused with illegal front-running, which plagues centralized finance. One of the features of blockchain is that all transactions are public. That is, when an Ethereum user posts a transaction to the memory pool, it is publicly visible to all Ethereum nodes. Front-runners can see this transaction – which is public information – and post a higher gas fee to trade against the pair before the user's transaction is added to a block; then they can immediately trade in the reverse direction against the pair. Estimates of front-running revenues, which come